OCAD - ONE COMPANY A DAY

SERIES: REAL ESTATE

Simon Property Group, Inc.

SPG | New York Stock Exchange

USD 211.63 per share

Closing price, Friday 23 October 2026, latest completed trading day



SPG daily closing price, 24 July 2026 to 23 October 2026, USD per share (unadjusted for dividends). Source: Alpha Vantage daily price series.

REPORT DATE	ANALYST	SERIES	EXCHANGE
25 October 2026	Arthur Faugeron	Real Estate	New York Stock Exchange

Executive Summary

Simon Property Group is the largest listed owner of high-productivity enclosed malls and outlet centers in the United States. It converts roughly USD 6.4 billion of annual rent and reimbursements into about USD 3.2 billion of free cash flow after capital expenditure, funds a common dividend of USD 9.00 per share on an annualised basis, and trades at about 16 times its 2026 guided Real Estate FFO per share. The investment question is whether rent growth on a scarce, high-quality asset base can outrun the cost of a debt stack of about USD 28.7 billion.

Business

Simon owns or holds interests in 254 properties totalling 206 million square feet at 30 June 2026, of which 212 are U.S. income-producing properties (108 malls, 70 Premium Outlets, 16 Mills, 6 lifestyle centers, 12 other) and 42 are international. Revenue is overwhelmingly contractual rent from retail tenants, supplemented by tenant reimbursements, percentage (overage) rent, and fees from joint ventures; the company completed its acquisition of the remaining 12% of The Taubman Realty Group on 31 October 2025.

Financial Condition

Revenue was USD 6.365 billion in FY2025 (up 6.7%), with operating income of USD 3.175 billion (49.9% margin) and operating cash flow of USD 4.137 billion; free cash flow, defined as operating cash flow less capital expenditure, was USD 3.203 billion. Reported net income of USD 4.6 billion in FY2025 includes a non-cash gain of USD 2.89 billion from remeasuring the Taubman stake and is not a run-rate figure. Consolidated debt was USD 28.43 billion at 31 December 2025 against cash of USD 0.82 billion, and USD 28.70 billion against USD 1.02 billion at 30 June 2026.

Market Position

Direct competitors for tenants and capital include Macerich (enclosed malls), Tanger (outlets) and Kimco (open-air and grocery-anchored centers). Simon’s U.S. Malls and Premium Outlets reported occupancy of 96.0%, base minimum rent of USD 62.42 per square foot and trailing tenant sales of USD 838 per square foot at 30 June 2026. The principal competitive advantage is the productivity and scarcity of its locations; the principal weakness is dependence on discretionary apparel and department-store tenants and on large-scale debt financing.

Valuation

At USD 211.63, the common equity is worth about USD 68.6 billion (324.0 million shares), or about USD 80.3 billion if operating partnership units are treated as exchanged; enterprise value on that basis is about USD 108.0 billion. The shares trade at 16.0 times the midpoint of 2026 Real Estate FFO guidance (USD 13.20 to USD 13.30), 21.1 times trailing consolidated EBITDA, 25.1 times free cash flow, and offer a dividend yield of 4.25%.

Investment Framework

WHAT IS ATTRACTIVE	Premium asset base with 96.0% occupancy, 6.3% growth in base rent per square foot, 7.5% portfolio NOI growth in the first half of 2026, liquidity of about USD 9.3 billion and a dividend covered by about 1.5 times Real Estate FFO.
WHAT IS CONCERNING	Net debt of about 5.4 times trailing EBITDA, a thin book equity base (about 11% of assets), refinancing at coupons above those on maturing debt, tenant restructurings such as Catalyst Brands, and a stock that has fallen 10.6% from its three-month high.
WHAT MUST GO RIGHT	Mid single-digit NOI growth, stable occupancy near 96%, successful integration of Taubman assets, and access to secured and unsecured debt near current spreads.
WHAT COULD BREAK THE THESIS	A consumer or credit shock that lifts tenant bankruptcies, a sustained rise in long-term interest rates, or capital allocation that favours low-return acquisitions and affiliated retail investments.
PRICED IN	A 16 times FFO multiple and a DCF range of about USD 190 to USD 258 per share imply roughly 4% annual FFO growth that fades toward 2.5%; this is reasonable rather than demanding.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	High. Contractual rents, 96.0% occupancy and USD 838 sales per square foot on the core portfolio.
Financial quality	Good. Operating margin about 50%, cash conversion above 100% of FFO-based earnings, but earnings are distorted by non-cash gains.
Competitive position	Strong. Scale and location quality are difficult to replicate.
Growth profile	Moderate. Guided Real Estate FFO growth of about 4% per year.
Balance-sheet risk	Elevated. Debt of USD 28.7 billion; coverage of about 4.8 times EBITDA to interest.
Valuation	Reasonable. 16.0 times Real Estate FFO against 12.9 to 17.2 times for peers.
Market and technical profile	Neutral. Price 1.8% above the 50-day average, RSI 61, beta 1.3 versus the S&P 500 proxy.

Source: analyst assessment based on the data in sections B and C.

A. About the Business

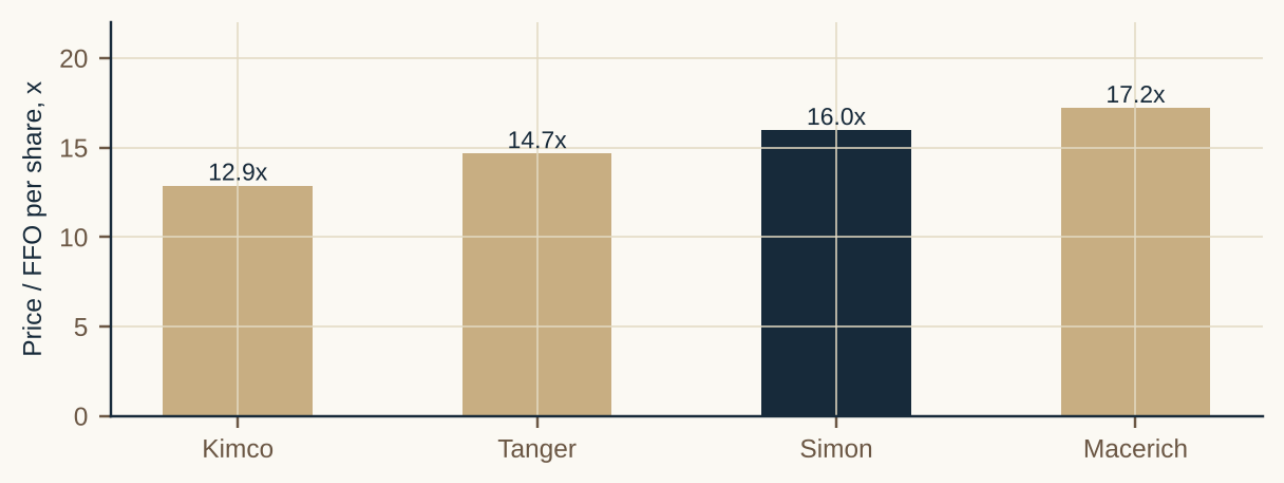
A1. Business Environment

Simon operates in retail real estate: the ownership, leasing and redevelopment of shopping destinations that rent space to retailers, restaurants and entertainment operators. The value chain runs from land and development capital, through ownership and leasing, to the tenants who sell to consumers. Value is created where a landlord controls a location that retailers cannot economically replace, so that retailer sales per square foot rise and rent follows. Retailers capture value through merchandise margin; landlords capture it through base rent, overage rent and occupancy.

Cost pools in the industry are property operating expenses, real estate taxes, depreciation, interest and redevelopment capital. The business is capital intensive and cyclical in a measured way: rent is contractual and lease terms span years, but occupancy, re-leasing spreads and percentage rent move with consumer spending and retailer health. The sector is exposed to long-term interest rates through both financing costs and the capitalisation rates that set property values. Regulation is limited at the product level, although REIT tax rules force distribution of most taxable income and constrain retained capital.

Industry structure is concentrated at the top. The 10-K names Costco, Walmart and Target as competing freestanding formats alongside other malls, outlet and community centers, and online retail. Reported tenant sales per square foot in the premium tier are far above the sector average: Simon at USD 838 and Macerich at USD 919 (spaces under 10,000 square feet), against Tanger's USD 487 in outlets. Industry size and growth rate for U.S. retail real estate as a whole are not retrieved and are not estimated here.

Price to FFO per share, selected listed retail landlords



Source: Alpha Vantage closing prices at 23 October 2026; company Q2 2026 releases. Simon: 2026 guidance midpoint USD 13.25 Real Estate FFO. Kimco: guidance midpoint USD 1.835. Tanger: guidance midpoint USD 2.485. Macerich: first-half 2026 FFO as adjusted of USD 0.70 doubled (no guidance issued), a run-rate estimate.

INDUSTRY STAGE

> Mature and consolidating, with a structurally transforming mix. Total store counts are no longer growing, but the best centers are densifying with residential, hospitality and entertainment, while weaker enclosed malls are repurposed or sold. Leasing activity and rent growth at the top end are healthy; at the bottom end, value has been impaired.

A2. What Does the Company Do?

Simon acts as landlord, developer and operator. A typical mall lease gives a retailer a store in exchange for minimum rent per square foot, a share of common-area maintenance, taxes and insurance, and, in many leases, additional rent once sales exceed a threshold. The company also earns management, development and leasing fees from joint ventures, and income from platform investments such as Catalyst Brands, Rue Gilt Groupe, Jamestown, and a 22.2% equity stake in Klepierre at year-end 2025 (20.7% at 30 June 2026).

The portfolio is held through Simon Property Group, L.P., in which the public company owned about 85.4% at 31 December 2025. The company employed about 3,600 people at that date. Major operating costs are property operating expenses, real estate taxes, depreciation and interest; interest expense was USD 975 million in FY2025 against operating income of USD 3.175 billion.

How one dollar of revenue is used

Using FY2025 figures: of each dollar of revenue, about 50 cents remains as operating income after property costs, depreciation and general expenses; depreciation of about 24 cents is non-cash; interest absorbs about 15 cents; capital expenditure takes about 15 cents; and the common dividend consumed about 51 cents of revenue in cash.

1. CUSTOMER
Retailers, restaurants and entertainment operators renting space; shoppers whose spending sets rent capacity.

2. PRODUCT AND SERVICE
Space in 108 malls, 70 Premium Outlets, 16 Mills and other centers; management and development services.

3. REVENUE
FY2025 revenue USD 6.365 billion, mostly minimum rent, reimbursements and overage rent.

4. COSTS
Property operating costs, taxes, depreciation (USD 1.55 billion) and interest (USD 0.97 billion).

5. OPERATING PROFIT
Operating income USD 3.175 billion, a 49.9% margin.

6. CASH FLOW
Operating cash flow USD 4.137 billion; free cash flow USD 3.203 billion.

7. CAPITAL ALLOCATION
Common dividends USD 3.23 billion, redevelopment and acquisitions, debt refinancing, buybacks under a USD 2.0 billion authorisation.

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Retail tenants	Apparel, department-store, specialty, dining and entertainment tenants; Catalyst Brands is an investee and a tenant	Rent is the revenue base; tenant bankruptcy lowers occupancy and creates re-leasing cost
Taubman Realty Group	100% owned since 31 October 2025 after 8.3 million units issued across the 80% to 100% steps	Adds premium assets and consolidated NOI; the Taubman family remains a significant shareholder
Klepierre SA	22.2% equity stake at 31 December 2025	European shopping-center exposure and equity-method income
Catalyst Brands, Rue Gilt Groupe, Jamestown	Platform and retail investments	Aligns landlord and tenant interests but adds equity risk, as the Q4 2025 FFO loss of USD 0.31 per share showed
Lenders and bond holders	Secured loans, senior notes, revolver, commercial paper (USD 2.0 billion program)	Cost of capital determines spread on acquisitions and redevelopments
Joint-venture partners	Mills and international outlet joint ventures	Share capital and risk, earn fees
Competitors	Macerich, Tanger, Kimco, Costco, Walmart, Target, online retail	Compete for tenants and shopper traffic

Source: Simon Property Group Form 10-K for FY2025; Q4 2025 and Q2 2026 earnings releases.

A4. Competition

Peers were chosen because they compete for the same retailers, shoppers and capital: Macerich owns enclosed regional malls in major metropolitan areas; Tanger owns open-air outlet centers and competes with Simon's Premium Outlets; Kimco owns grocery-anchored open-air centers and is the main listed alternative for retail-focused capital. Revenue figures are quarterly (second quarter 2026) and are not comparable in scale, so the table shows ratios.

COMPETITIVE COMPARISON, SECOND QUARTER 2026 AND 23 OCTOBER 2026 PRICES, USD

Company	Price	Q2 revenue	Occupancy	FFO per share basis	Price / FFO
Simon (SPG)	211.63	1.79bn	96.0%	13.25 (2026E)	16.0x
Macerich (MAC)	24.10	0.25bn	94.0%	1.40 (run-rate)	17.2x
Tanger (SKT)	36.44	0.16bn	96.6%	2.485 (2026E)	14.7x
Kimco (KIM)	23.62	0.55bn	96.4%	1.835 (2026E)	12.9x

Source: company second quarter 2026 releases (SEC Form 8-K and Tanger press release); closing prices from Alpha Vantage, 23 October 2026. Occupancy definitions differ by company (Simon: U.S. Malls and Premium Outlets; Macerich: leased portfolio; Tanger: total portfolio; Kimco: pro-rata leased). Guidance midpoints used where available.

Macerich is closest in asset type but smaller, more leveraged (pro rata net debt to Adjusted EBITDA of 7.3 times) and has lower occupancy of 94.0%, yet reports higher sales per square foot of USD 919 on its focused portfolio. Tanger has the lowest leverage at 4.7 times net debt to Adjusted EBITDAre and a 7% dividend increase, but its tenant sales of USD 487 per square foot sit well below Simon's. Kimco has record occupancy of 96.4% and a 12% dividend increase but depends on grocery and necessity retail, which is a different economic engine.

A5. Competitive Differences

Simon's advantages are structural in the main. Location quality in dominant trade areas is scarce and cannot be replicated by a new entrant, because new enclosed malls are rarely permitted or financed. Scale gives access to unsecured debt (including euro-denominated senior notes at 3.65%), a USD 9.3 billion liquidity pool, and bargaining power with national tenants that need access to many centers. Reported sales per square foot rose 13.9% year on year to USD 838, which supports rent growth. These factors are structural; the current rent growth momentum and spreads are cyclical and therefore temporary.

Disadvantages include high capital intensity, leverage of about 5.4 times EBITDA, exposure to discretionary apparel and department-store tenants, and concentration of NOI in Florida, California, Texas and New York, which the 10-K flags for natural disaster risk. Investments in tenant platforms such as Catalyst Brands add equity risk that is not typical of a landlord.

MOAT ASSESSMENT: STRONG

> Evidence: occupancy of 96.0% in both June 2025 and June 2026, base minimum rent up 6.3% to USD 62.42 per square foot and sales up 13.9% to USD 838 per square foot, sustained over a period in which the portfolio expanded through the Taubman acquisition. The moat is not Very Strong because rent depends on the health of tenants who face e-commerce and discretionary spending cycles.

A6. Industry Trend

Premium retail real estate is in a late-recovery, bifurcated phase. Simon reports portfolio NOI growth of 8.3% in the second quarter of 2026 and 7.5% for the first half, up from 4.7% for FY2025. Peers show lower but positive growth: Kimco's same-property NOI grew 3.5% in the second quarter and Tanger's same-center NOI grew 3.5%. Demand for the best space exceeds supply because few new centers are built; pricing is therefore supported at the top. Structural trends are e-commerce adoption, physical retail used as a brand and fulfilment channel, and mixed-use redevelopment. Cyclical conditions include consumer spending, interest rates and retailer bankruptcies. The trend would reverse if consumer spending weakens and large tenants close stores faster than Simon can re-lease space, or if long-term rates rise enough to compress property values and refinancing spreads.

A7. Management

EXECUTIVE TEAM

Name	Position	Background
David Simon (64)	Chairman, Chief Executive Officer and President	Long-tenured leader and a member of the founding family; ownership and compensation figures not retrieved
Eli Simon (38)	Director, Executive Vice President and Chief Operating Officer	Next-generation family member in a senior operating role
Brian J. McDade (46)	Executive Vice President and Chief Financial Officer	Responsible for the capital structure and financing program
John Rulli (69)	Chief Administrative Officer	Senior operating executive
Steven E. Fivel (65)	General Counsel and Secretary	Legal and governance

Source: Simon Property Group Form 10-K for FY2025, executive officers as of 25 February 2026.

Capital allocation has been active and shareholder-oriented in form: the company paid USD 3.23 billion of common dividends in FY2025 (against USD 2.65 billion in FY2024), raised the quarterly dividend by 4.7% to USD 2.25, repurchased 2.52 million shares at an average of USD 145.81 over three years, and in the second quarter of 2026 repurchased 793,077 shares and 237,618 units at an average of USD 205.10 for USD 211.4 million. A new USD 2.0 billion repurchase program runs through 29 February 2028. Debt management has been proactive: eight secured loans of about USD 1.4 billion were completed at 5.36% in the second quarter, and a euro 500 million 5-year note was priced at 3.65%. Against that, the company retains exposure to affiliated retail investments, and the Catalyst Brands restructuring cost USD 0.31 per share in Q4 2025 FFO. Family leadership and visible succession align management with long-term ownership, but also concentrate control; independent governance metrics, insider ownership percentages and guidance accuracy are not retrieved. Guidance has been raised in 2026, with Real Estate FFO guidance moving from USD 13.00 to 13.25 initially, to USD 13.10 to 13.25, to USD 13.20 to 13.30 after the second quarter.

B. Evaluation

B1. Financial and Operating Metrics

Gross margin and inventory turnover are not meaningful for a landlord and are omitted. Net income comparisons are distorted by gains and impairments, so Real Estate FFO per share (a company-defined measure that excludes real estate depreciation and certain gains) is the most useful earnings measure, supplemented by cash flow.

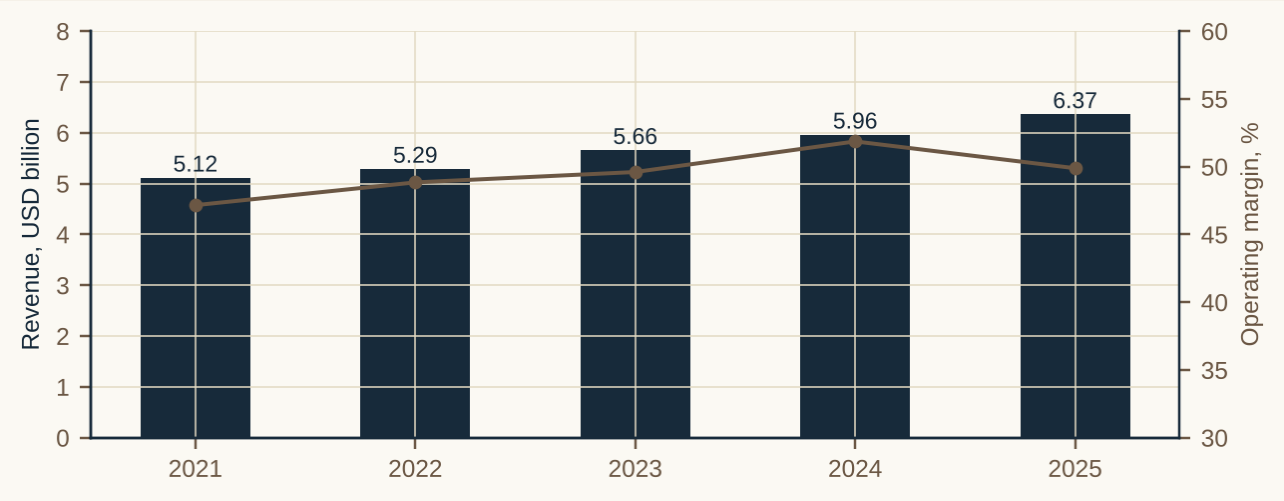
PROFITABILITY AND CASH FLOW, FY2021 TO FY2025, USD BILLION UNLESS STATED

Metric	2021	2022	2023	2024	2025
Revenue	5.117	5.291	5.659	5.964	6.365
Revenue growth	N/A	3.4%	6.9%	5.4%	6.7%
Operating income	2.413	2.584	2.807	3.093	3.175
Operating margin	47.2%	48.8%	49.6%	51.9%	49.9%
Net income (provider)	2.250	2.140	2.617	2.371	4.615
Net margin	44.0%	40.4%	46.2%	39.8%	72.5%
Operating cash flow	3.637	3.767	3.931	3.815	4.137
Capital expenditure	0.528	0.650	0.793	0.756	0.934
Free cash flow	3.109	3.117	3.138	3.059	3.203
Free cash flow margin	60.8%	58.9%	55.5%	51.3%	50.3%
Real Estate FFO per share (USD)	N/A	N/A	N/A	12.24	12.73

Source: Alpha Vantage financial statements (income statement and cash flow, fiscal years to 31 December); Simon Property Group Q4 2025 release for Real Estate FFO per share. Net margin, FCF and margins calculated by the analyst. FY2025 net income includes a USD 2.89 billion non-cash gain on remeasuring the Taubman stake. Provider net income of USD 4.615 billion differs from the USD 4.624 billion net income to common stockholders in the company release; the company figure is preferred.

Growth: revenue CAGR from 2021 to 2025 was 5.6%, operating income CAGR 7.1%, operating cash flow CAGR 3.3%, and free cash flow CAGR only 0.7% because capital expenditure rose from USD 0.53 billion to USD 0.93 billion. Real Estate FFO per share grew 4.0% in 2025. Organic growth: domestic NOI rose 4.4% in FY2025 and portfolio NOI 7.5% in the first half of 2026.

Revenue and operating margin, FY2021 to FY2025

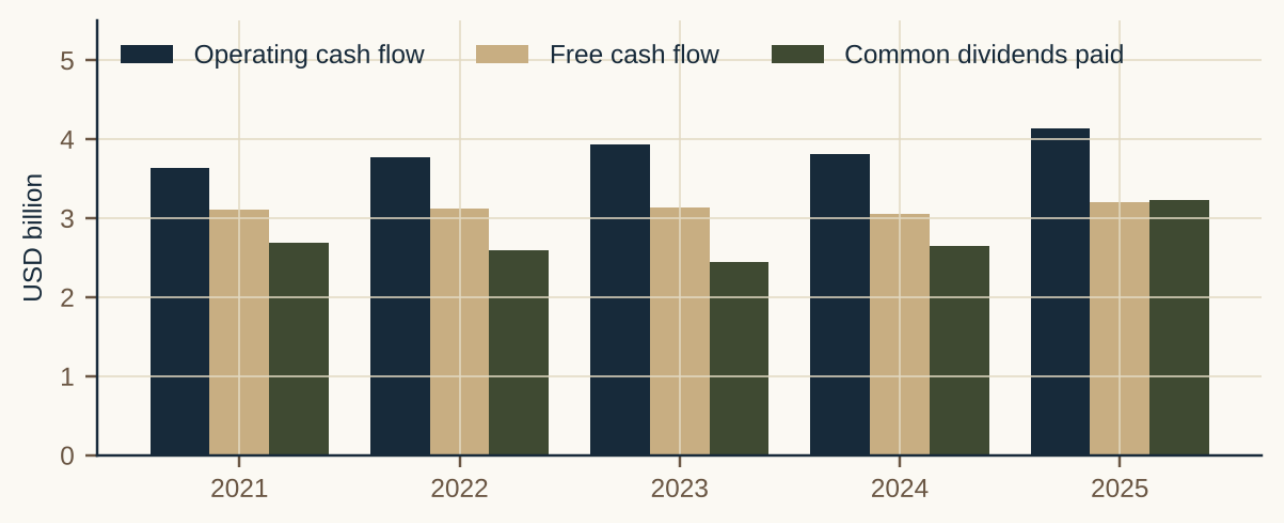


Source: Alpha Vantage income statement data; operating margin calculated as operating income divided by revenue. Units: USD billion and percent.

Returns: return on equity is not meaningful, because depreciation has reduced book equity to USD 3 to 5 billion and FY2025 net income includes the Taubman gain. Return on invested capital, calculated as operating income less roughly 1% cash taxes divided by year-end net debt plus equity, was about 12% in 2024 and about 9.6% in 2025; the 2025 figure is depressed because year-end capital includes the Taubman assets for only two months of income.

Leverage: net debt (consolidated debt less cash) was USD 27.6 billion at December 2025 and USD 27.7 billion at 30 June 2026, or 5.4 times trailing EBITDA (operating income plus depreciation and amortisation for the four quarters to June 2026: USD 5.12 billion). EBITDA to interest expense was 4.8 times (interest of USD 1.07 billion over the same period). Joint-venture debt is not consolidated and is not included.

Operating cash flow, free cash flow and common dividends, FY2021 to FY2025



Source: Alpha Vantage cash flow statement. Free cash flow equals operating cash flow less capital expenditure. Units: USD billion.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Interest rates and refinancing	High	High	USD 28.7 billion of debt reprices as it matures; 2026 secured loans priced at 5.36% and notes at 4.3%, above many legacy coupons; higher rates also lower property values
2	Tenant bankruptcies and retailer health	Medium	High	Retailer bankruptcies occur regularly; lease rejection leaves unsecured claims; apparel and department-store exposure; Catalyst Brands restructuring already cost USD 0.31 per share in Q4 2025
3	Consumer and macro downturn	Medium	High	Lower retailer sales reduce overage rent and tenant demand; sales per square foot are at USD 838
4	Valuation compression	Medium	Medium	16 times FFO leaves limited room for disappointment; peers trade between 12.9 and 17.2 times
5	Concentration and climate	Medium	Medium	Material NOI in Florida, California, Texas and New York, exposed to hurricanes, earthquakes and wildfires; insurance costs
6	E-commerce and format shift	Medium	Medium	Online share gains may lower store counts; mitigated by premium locations
7	Capital allocation and governance	Low	Medium	Family control, affiliate investments and acquisitions at the wrong price
8	Cybersecurity and technology	Low	Medium	Tenant and shopper data, payment and building systems

Source: analyst assessment using Simon Property Group Form 10-K for FY2025 risk factors and 2026 financing disclosures.

The three risks most capable of permanently impairing shareholder value are: refinancing at materially higher rates than legacy coupons (permanent reduction of FFO), a deep consumer recession that drives structural store closures at a high share of tenants, and an acquisition or affiliate investment that destroys capital.

B3. Valuation

Multiples at USD 211.63 (23 October 2026), using 324.0 million common shares at 30 June 2026 and, for fully exchanged value, about 379 million shares and units (324.0 million divided by an 85.4% ownership share, an estimate):

VALUATION MULTIPLES

Measure	Value	Basis
Common equity market capitalisation	USD 68.6 billion	324.0 million shares times USD 211.63
Equity including operating partnership units	USD 80.3 billion	Estimated 379 million shares and units
Enterprise value	USD 108.0 billion	Equity including units plus consolidated net debt of USD 27.7 billion
Price / Real Estate FFO (2026 guidance midpoint)	16.0x	USD 13.25 per share
Price / trailing Real Estate FFO	16.1x	USD 13.18 estimated, last four quarters
EV / EBITDA (trailing consolidated)	21.1x	USD 5.12 billion, four quarters to June 2026
Price / free cash flow	25.1x	Equity including units over FY2025 FCF of USD 3.20 billion
P/E (2026 guided net income per share)	about 30x	About USD 7.00 per share; GAAP EPS includes gains
Dividend yield	4.25%	USD 2.25 quarterly, annualised USD 9.00
Dividend / Real Estate FFO	67.9%	USD 9.00 over USD 13.25

Source: Alpha Vantage price and financial statements; Simon Property Group Q2 2026 release. Trailing Real Estate FFO calculated as FY2025 USD 12.73, minus first half 2025 (about USD 6.01, derived from the reported 7.5% growth), plus first half 2026 USD 6.46. EV excludes joint-venture debt and preferred stock; EV/EBITDA is therefore a conservative indicator and overstated relative to FFO multiples.

Historical valuation: multiple history for Simon is Not Retrieved. As a proxy, the price has risen from USD 89.75 (September 2022) to USD 211.63 while Real Estate FFO per share grew to USD 12.73 in 2025, so most of the share price advance reflects multiple expansion from trough conditions and not only earnings growth. Peer valuation: Simon at 16.0 times sits between Kimco (12.9 times), Tanger (14.7 times) and Macerich (17.2 times); the premium over Kimco and Tanger is consistent with higher productivity and scale, while Macerich's higher multiple reflects a leveraged, recovering balance sheet and a run-rate basis.

What is priced in: a DCF of recurring cash flow per share (below) shows a central value of about USD 218 at an 8.5% cost of equity and 2.5% terminal growth, so today's price is consistent with roughly 4% FFO growth fading to 2.5%, an 8.5% required return, and flat leverage. These expectations appear Reasonable: they are in line with company guidance and recent growth and do not require margin expansion.

B4. Capital Market and Stock Analysis

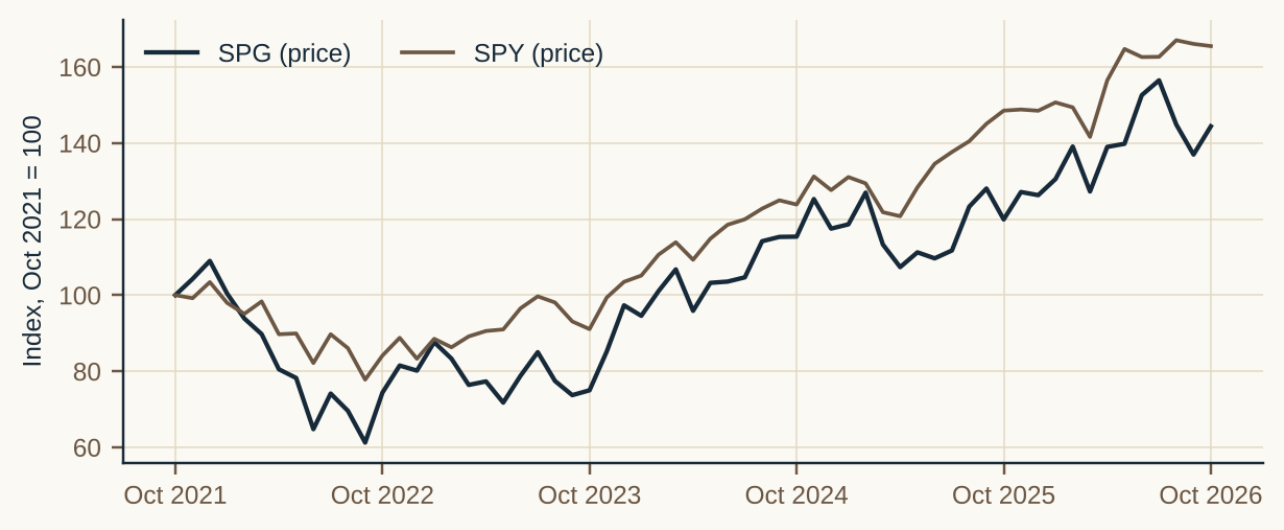
Returns on price (excluding dividends) as of 23 October 2026. Day, week and month returns use daily closes; longer periods use month-end closes and are therefore approximate to the nearest month.

PRICE PERFORMANCE, SPG AGAINST S&P 500 PROXY (SPY), PRICE RETURN

Period	SPG	SPY
1 day (22 to 23 October)	-0.2%	N/A
1 week (to 16 October close)	3.0%	N/A
1 month (to 23 September close)	3.7%	N/A
Since 30 September month-end	5.4%	-0.3%
3 months (to 31 July month-end)	-7.7%	1.7%
6 months (to 30 April month-end)	3.9%	5.7%
Year to date (from 31 December 2025)	14.3%	11.4%
1 year (from 31 October 2025)	20.4%	11.4%
3 years (from 31 October 2023)	92.6%	81.7%
5 years (from 29 October 2021)	44.4%	65.5%

Source: Alpha Vantage daily and monthly price series, unadjusted for dividends. Returns calculated by the analyst. SPY used as a benchmark proxy for the S&P 500.

SPG against SPY, month-end price, rebased



Source: Alpha Vantage monthly price series, October 2021 to 23 October 2026. Index, October 2021 equals 100. Prices exclude dividends, which understates total return for SPG (yield about 4%).

VOLATILITY AND RISK

Measure	Value	Basis
Annualised volatility, five years (monthly returns)	27.2%	Calculated; SPY 15.6%
Annualised volatility, 65 trading days (daily)	17.7%	Calculated
Downside volatility (five years, monthly)	17.1%	Calculated
Beta versus SPY (five years, monthly)	1.30	Calculated
Correlation with SPY	0.74	Calculated
Maximum drawdown, month-end, October 2021 to October 2026	-43.8%	Peak USD 159.77 (Dec 2021), trough USD 89.75 (Sep 2022)
Maximum drawdown, SPY same period	-24.8%	Calculated

Source: Alpha Vantage price series; calculations by the analyst. Month-end data understates intramonth drawdown.

Behaviour: the shares fell about 44% through the 2022 rate shock, regained the previous peak by August 2024 and have since made new highs, reaching USD 236.70 on 28 July 2026. Since then the price has fallen 10.6% from that three-month high and has traded in a USD 197 to USD 213 range through September and October, with a low of USD 197.59 on 7 October. Support sits near USD 197 to 200 and resistance near USD 212 to 213, the area of the 23 October close.

Technical indicators (computed on the 65 daily closes from 24 July 2026): the 50-day average is about USD 207.9, so the price is 1.8% above it; the 20-day average is USD 203.0; RSI(14) is 61, neutral to firm; MACD is slightly above its signal line (0.36 versus -1.34), a modest positive crossover. A 200-day average is Not Retrieved from the short daily series; the 10-month average of month-end closes is USD 206.8. The structure suggests a consolidation after the July peak with a recent rebound, and is independent of the fundamental valuation. The stock is a higher-beta REIT: it moves with interest rates and consumer sentiment more than with earnings alone.

C. Financial Statements

C1. Income Statement

Revenue rose from USD 5.117 billion in 2021 to USD 6.365 billion in 2025 (5.6% CAGR). Growth came mainly from price (base minimum rent per square foot up 4.7% in 2025 and 6.3% in the year to June 2026), from occupancy that stayed near 96%, from acquisitions (about USD 2 billion of retail property acquired in 2025) and, from the fourth quarter of 2025, consolidation of Taubman assets, with fourth-quarter revenue of USD 1.791 billion against USD 1.582 billion a year earlier. Quarterly revenue reached USD 1.757 billion in Q1 2026 and USD 1.791 billion in Q2 2026.

The operating margin expanded from 47.2% in 2021 to 51.9% in 2024 and eased to 49.9% in 2025 as depreciation and acquisition-related costs rose; the first half of 2026 operating margin was 43.4% in Q1 and 46.0% in Q2 on the larger, more depreciation-heavy asset base (calculated from provider quarterly data). Operating leverage is positive when rent growth exceeds cost growth, as in 2022 to 2024. Interest expense rose from USD 795.7 million in 2021 to USD 974.8 million in 2025 and USD 281.2 million in the second quarter of 2026 alone, absorbing a growing share of operating profit. Taxes are small because Simon is a REIT (USD 36 million in 2025). EPS: reported diluted EPS was USD 14.17 in 2025 (USD 7.26 in 2024), inflated by the Taubman gain of USD 2.89 billion; Q2 2026 diluted EPS was USD 1.49 against USD 1.70, the prior year including a USD 0.21 non-cash gain. Share count was broadly stable at about 326 million in 2025 and 324 million in June 2026. Real Estate FFO per share (USD 3.29 in Q2 2026, up 7.9%) is the cleaner measure.

C2. Balance Sheet

At 30 June 2026 (provider data): cash USD 1.02 billion; total assets USD 39.7 billion; total liabilities USD 34.1 billion; total equity USD 4.4 billion; debt USD 28.7 billion. At 31 December 2025: total assets USD 40.6 billion (USD 32.4 billion a year earlier, the increase reflecting Taubman), debt USD 28.43 billion (company figure) and cash USD 0.82 billion. Goodwill is negligible (USD 20 million). The equity ratio is about 11%, which is typical of a mature REIT with depreciated assets and a large return of capital through dividends. Current and quick ratios are not meaningful because the balance sheet is unclassified; liquidity is better measured as USD 9.3 billion (cash plus available revolver capacity) at 30 June 2026.

Net debt is USD 27.7 billion, or 5.4 times trailing EBITDA. The credit facility matures on 30 June 2027 (extendable to 30 June 2028) and the supplemental facility on 31 January 2029 (extendable to 31 January 2030). Red flags: reliance on refinancing, a dividend funded at roughly 70 percent of FFO, and affiliate investments. Off-balance-sheet obligations include the share of joint-venture debt, Not Retrieved. In the second quarter the company repaid a revolver draw using a USD 460 million 5-year term loan priced at SOFR plus 0.70%.

C3. Cash Flow Statement

Operating cash flow was USD 4.137 billion in 2025 (USD 3.815 billion in 2024), and USD 2.029 billion in the first half of 2026 (USD 833 million in Q1 and USD 1.196 billion in Q2). Capital expenditure was USD 934 million in 2025 and USD 445 million in the first half of 2026. Free cash flow was USD 3.203 billion in 2025 (50.3% of revenue), or 77% of operating cash flow. Cash conversion is strong: operating cash flow was 90% of reported 2025 net income only because net income includes a non-cash gain; excluding the USD 2.89 billion gain, operating cash flow exceeds adjusted net income by roughly 2.4 times, because depreciation of USD 1.55 billion is non-cash. This is the clearest case in which Net Income does not equal cash generation.

Financing: dividends to common holders were USD 3.233 billion in 2025 and USD 1.694 billion in the first half of 2026, repurchases were USD 248 million in 2025 and USD 399 million in the first half of 2026, and investing outflows were USD 1.60 billion in 2025. Financing cash flow was negative USD 3.11 billion in 2025. Capex intensity was 14.7% of revenue in 2025 and 12.5% in the first half of 2026. Maintenance versus growth split is Not Retrieved.

C4. Forecasting and Projections

The projections below are analyst scenarios built from company guidance (Real Estate FFO of USD 13.20 to USD 13.30 per share for 2026), not forecasts of the share price. Revenue drivers are rent per square foot (up 6.3%), occupancy (96.0%), acquisitions and redevelopment. Margin: operating leverage is moderate and interest expense rises as debt is refinanced. Working capital is small. Capex: about 13 to 15% of revenue, partly growth redevelopment.

SCENARIO ANALYSIS, REAL ESTATE FFO PER SHARE AND IMPLIED VALUE AT END OF 2028, USD

Scenario	FFO growth	2026E	2028E	Multiple	Implied value
Bear	1.0%	13.25	13.52	13.0x	176
Base	4.5%	13.25	14.47	16.0x	232
Bull	7.0%	13.25	15.17	18.5x	281

Source: analyst assumptions anchored on Simon Property Group Q2 2026 guidance midpoint (USD 13.25). Implied value equals 2028E FFO multiplied by the stated multiple, before dividends of about USD 9 per share per year. These are illustrations of assumptions, not predictions.

SENSITIVITY OF IMPLIED END-2028 VALUE TO FFO GROWTH AND MULTIPLE, USD PER SHARE

Multiple	1%	3%	4.5%	6%	7%
13.0x	176	183	188	194	197
14.5x	196	204	210	216	220
16.0x	216	225	232	238	243
17.5x	237	246	253	261	265
19.0x	257	267	275	283	288

Source: analyst calculation. 2028E FFO = 13.25 compounded at the stated growth for two years, multiplied by the multiple (rounded).

C5. Discounted Cash Flow (DCF) Model

The model values recurring cash flow per share, discounted at the cost of equity, because REIT FFO is already stated after interest and net debt is therefore reflected. Assumptions (all analyst assumptions unless noted): starting 2026E Real Estate FFO of USD 13.25 per share (company guidance midpoint); recurring capital and leasing costs of 8% of FFO (Not Retrieved from filings, estimated); growth of 4.5% fading linearly to the terminal rate over ten years; terminal growth of 2.0% to 3.0%; cost of equity of 7.5% to 9.5% (risk-free rate plus a beta of about 1.3 times an equity premium; Not Retrieved as a sourced input); taxes minimal as a REIT; working capital negligible; net debt of USD 27.7 billion already deducted through interest. Terminal value accounts for the majority of the result.

SENSITIVITY: COST OF EQUITY (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), VALUE PER SHARE, USD

Cost of equity	2.0%	2.5%	3.0%	3.5%
7.5%	243	263	287	317
8.0%	222	238	258	281
8.5%	205	218	234	253
9.0%	190	201	214	230
9.5%	177	187	198	211

Source: analyst DCF. Current price USD 211.63. Central case (8.5% and 2.5%) is USD 218; the reasonable range for 8.0% to 9.0% cost of equity and 2.0% to 3.0% growth is about USD 190 to USD 258. The model is highly sensitive to the discount rate and should be read as a range, not a point estimate.

C6. Leveraged Buyout (LBO) Model

Not applicable. An equity value of about USD 80 billion and enterprise value of about USD 108 billion with existing property-level and corporate debt make a leveraged buyout of the whole company impractical; the economic value lies in its dividend and balance-sheet structure rather than an exit multiple.

D. Investment Thesis

Bull Case

Premium retail space remains scarce and retailer sales per square foot continue to rise from USD 838. Base rent growth of 6% to 7% and 96% or higher occupancy lift Real Estate FFO per share growth to 7% a year, Taubman assets deliver accretion, redevelopment adds mixed-use income, and lower interest rates support a multiple of 18 to 19 times FFO. Implied value of about USD 280 under the scenario table.

Bear Case

A consumer slowdown raises tenant bankruptcies, occupancy falls below 94%, overage rent shrinks, and re-leasing spreads turn negative. Refinancing at 5.4% to 5.5% instead of legacy coupons erodes FFO, capex rises, and the dividend, covered at 68% of FFO, becomes constraining. A multiple of 13 times and FFO growth of 1% imply a value near USD 176.

Base Case

Real Estate FFO grows about 4% to 4.5% a year, in line with 2025 growth and 2026 guidance, occupancy stays near 96%, leverage stays near 5.4 times EBITDA, and the dividend grows at about 4% to 5% a year. A stable multiple near 16 times results in an implied value around USD 232 at the end of 2028, before roughly USD 18 of cumulative dividends.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
Third quarter 2026 results	Early November 2026 (date Not Retrieved)	Tests the raised Real Estate FFO guidance of USD 13.20 to 13.30
Dividend declaration	Quarterly; Q3 payable 30 September 2026	Dividend of USD 2.25 shows the pace of increases
Share repurchases	Through 29 February 2028	USD 2.0 billion authorisation; USD 211.4 million used in Q2 2026
Debt refinancing	2027 facility maturity	Spread and coupon on new debt
Taubman integration and redevelopments	Ongoing	NOI growth from consolidated assets
Interest rate policy	Ongoing	Affects financing cost and multiples

Source: Simon Property Group Q2 2026 release and Form 10-K for FY2025; analyst assessment.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Occupancy	Rent base	96% or higher	Below 95%
Base rent per square foot	Pricing power	Growth above 4%	Growth below 2%
Tenant sales per square foot	Rent capacity	Above USD 838	Decline
Net debt / EBITDA	Leverage	Below 5.4x	Above 6.0x
New debt coupons	Refinancing cost	Below 5% secured	Above 6%
Real Estate FFO guidance	Earnings power	Raised again	Cut
Tenant bankruptcies	Credit risk	Few, backfilled	Large anchors

E. Final Investment Framework

BUSINESS QUALITY	High. Scarce locations, contractual rent, 96.0% occupancy.
FINANCIAL QUALITY	Good. Operating margin about 50%, FCF of USD 3.2 billion, but earnings distorted by gains and leverage is meaningful.
COMPETITIVE POSITION	Strong. Largest premium mall and outlet platform; moat assessed as Strong.
MANAGEMENT	Experienced and family led; active capital allocation and financing, with some affiliate investment risk; ownership data not retrieved.
INDUSTRY	Mature and bifurcated; top-tier assets benefit while weaker centers decline.
VALUATION	Reasonable. 16.0 times FFO, 4.25% dividend yield, DCF range of about USD 190 to USD 258.
TECHNICAL AND MARKET STRUCTURE	Neutral consolidation between USD 197 and USD 213 after a July peak of USD 236.70.
PRINCIPAL RISK	Refinancing at higher rates combined with a consumer downturn.
PRINCIPAL CATALYST	Third-quarter 2026 results confirming the raised FFO guidance.
KEY VARIABLE	Growth in same-store NOI relative to the cost of refinanced debt.
THESIS INVALIDATION	The investment thesis would become materially weaker if occupancy falls below 94%, base rent growth falls below 2%, net debt to EBITDA rises above 6.0 times, or 2026 Real Estate FFO guidance is cut below USD 13.00.

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market cap, common	USD 68.6bn	N/A	N/A
Market	Enterprise value	USD 108.0bn	N/A	N/A
Market	Share price	USD 211.63	USD 175.76 (31 Oct 2025)	+92.6% over 3 years
Growth	Revenue growth (FY2025)	6.7%	5.4%	5.6% CAGR, 4 years
Profitability	Operating margin	49.9%	51.9%	47.2% to 49.9%
Profitability	Net margin	72.5% (gain)	39.8%	Not meaningful
Profitability	ROE	Not meaningful	Not meaningful	Not meaningful
Profitability	ROIC	9.6%	12.0%	Calculated
Cash flow	Operating cash flow	USD 4.14bn	USD 3.81bn	3.3% CAGR
Cash flow	Free cash flow	USD 3.20bn	USD 3.06bn	0.7% CAGR
Leverage	Net debt / EBITDA	5.4x (TTM)	Not retrieved	Not retrieved
Valuation	P/FFO (2026E)	16.0x	Not retrieved	Not retrieved
Valuation	EV/EBITDA	21.1x	Not retrieved	Not retrieved
Valuation	P/FCF	25.1x	Not retrieved	Not retrieved
Market	Beta (5Y, monthly)	1.30	N/A	N/A
Market	Volatility (5Y annualised)	27.2%	N/A	N/A
Market	Maximum drawdown (5Y)	-43.8%	N/A	N/A

G. Sources and Methodology

Data cross-check

Financial statements from the data provider were compared with the company's own releases. Revenue (USD 6.365 billion) and FY2025 net income to common (USD 4.624 billion in the release against USD 4.615 billion in the provider data) agree within 0.2%; the company figure is preferred. Debt of USD 28.43 billion is taken from the company, since provider short-term and long-term debt fields overlap. Share prices come from a single provider series; trailing Real Estate FFO is derived rather than reported. Where information was not available it is shown as N/A or Not Retrieved. The Q2 2026 release shows a wide net income guidance range (USD 6.47 to USD 7.47) that differs from the prior USD 6.87 to USD 7.12; the approximate midpoint of USD 7.00 is used for P/E.

Source list

Primary Sources

Simon Property Group, Inc., Form 10-K for the fiscal year ended 31 December 2025. February 2026. `https://www.sec.gov/Archives/edgar/data/1063761/000110465926019419/spg-20251231x10k.htm`. Information obtained: Business overview, property counts, executive officers, risk factors, financing and repurchase programs

Simon Property Group, Inc., Form 8-K, fourth quarter and full year 2025 results (Exhibit 99.1). February 2026. `https://www.sec.gov/Archives/edgar/data/1063761/000110465926009209/tm263695d2_ex99-1.htm`. Information obtained: FY2025 results, Real Estate FFO, Taubman gain, debt, liquidity, 2026 guidance

Simon Property Group, Inc., Form 8-K, second quarter 2026 results (Exhibit 99.1). 2026. `https://www.sec.gov/Archives/edgar/data/0001063761/000110465926093361/tm2620726d2_ex99-1.htm`. Information obtained: Q2 2026 results, operating metrics, dividend, repurchases, liquidity, raised guidance

Macerich Company, Form 8-K, second quarter 2026 results (Exhibit 99.1). 2026. `https://www.sec.gov/Archives/edgar/data/0000912242/000091224226000034/a2026q2-exhibit991.htm`. Information obtained: Peer FFO, occupancy, sales per square foot, leverage

Kimco Realty Corporation, Form 8-K, second quarter 2026 results (Exhibit 99.1). 2026. `https://www.sec.gov/Archives/edgar/data/0000879101/000119312526331498/kim-ex99_1.htm`. Information obtained: Peer FFO, occupancy, guidance, dividend

Tanger, Inc., Tanger Reports Second Quarter Results and Increases 2026 Guidance. August 2026. `https://investors.tanger.inc/press-releases/detail/648`. Information obtained: Peer core FFO, occupancy, leverage, guidance, tenant sales

Secondary Sources

Pulse 2.0, Simon Completes Full Acquisition Of Taubman Realty Group. 4 November 2025. `https://pulse2.com/simon-completes-full-acquisition-of-taubman-realty-group/amp/`. Information obtained: Structure of the Taubman transaction, paid in operating partnership units

Market Data

Alpha Vantage, Time series (daily, monthly), global quote, income statement, balance sheet and cash flow for SPG, SPY, MAC, KIM and SKT. Data to 23 October 2026. `https://www.alphavantage.co/documentation/`. Information obtained: Prices, volumes, benchmark data and historical financial statements

Calculations

Calculated by the analyst: margins, growth rates and CAGRs, free cash flow, net debt, trailing EBITDA and Real Estate FFO, multiples, fully exchanged equity value, ROIC, returns, volatility, beta, drawdown, RSI, MACD and moving averages, scenario and DCF values. Free cash flow equals operating cash flow less capital expenditure; EBITDA equals operating income plus depreciation and amortisation as reported by the provider.

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